> In the 1980s, when I was the comptroller, I proposed legislation calling for a small board of investment experts for the pension fund, representing local governments and active and retired state government workers. Within weeks of its introduction, however, the bill was the subject of amendments intended to grant additional seats to favored interest groups. So I withdrew my support.[24]

Having a pension board dominated by special interests groups, especially with a majority of representatives lacking professional investment knowledge, would be a recipe for disaster. How should NYSCRF select a board, assuming we select a board model as the optimal governance structure?

4.1. BOARD MEMBERSHIP

Corporate finance theory and empirical data suggest that independent boards add the most value.[25] I discuss two models NYSCRF could emulate: the Canada Pension Plan Investment Board (CPPIB) and the New Zealand Superannuation Fund (NZSF), the sovereign wealth fund of New Zealand.[26] Both have boards independent of their governments.

CPPIB is a dedicated fund manager whose job is to invest the assets of the Canada Pension Plan to "maximize investment returns without undue risk of loss." It is set up at "arm's length from governments." Under the terms of the 1997 Canada Pension Plan Investment Board Act, CPPIB is governed by a twelve-person board of directors. They are appointed by the Federal Finance Minister in consultation with the provinces (except Quebec, which does not participate), and with the assistance of a nominating committee, for a term of three years. Terms are staggered such that no more than half the directors' terms expire in any one year. Directors are eligible for reappointment, with a maximum service of three terms. Directors must have investment expertise, "with a proven financial ability or relevant work experience such that the board will be able to effectively achieve its objects." Additionally, directors must be "representative of the various regions of Canada." There are no government officials on the board. CPPIB does not submit investment strategy or business plans to the government for approval; nor does it require government approval for compensation policies or

[24] Regan, E. V., "Too Much Money for One Man," *New York Times*, March 5, 2011.

[25] Gordon (2007) shows that independent directors are much more valuable than insiders at adding value to firms. The earlier literature, like Hermalin and Weisbach (1991) found little relation between board independence and higher firm value, but now there are many papers showing this link. Independent directors also are associated with better outcomes regarding CEO turnover, executive compensation, fraud, opportunistic timing of stock option grants, and investment efficiency. See Bebchuk and Weisbach (2010) for references.

[26] More details are available in the case, "Factor Investing: The Reference Portfolio and Canada Pension Plan Investment Board," Columbia CaseWorks ID#120302.